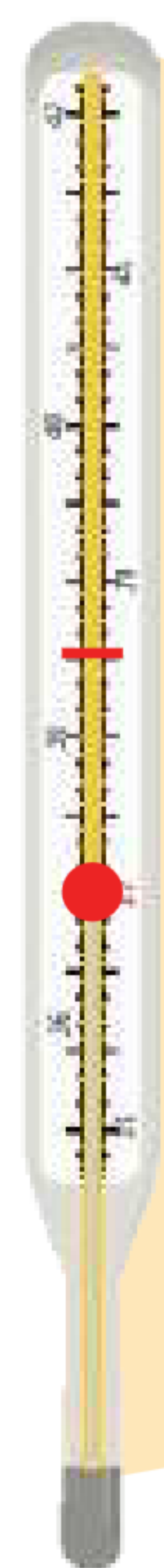


5. Decide Anchor



You should decide the percentile at which you want to anchor your organization against the market. The lower percentile shows that your employer brand is stronger. Organizations increase benefits and job security to anchor themselves at the lower compensation.

You should anchor your compensation based on the number and quality of candidates you are able to attract. You may decide on a single percentile for the entire organization and increase it for some of the critical functions and roles. If you anchor yourself above 75th percentile, then you are paying at the top of the market. If not handled carefully, it could potentially jeopardize your brand in the long term.



Once you decide the salary of a job based on your anchor. That is the midpoint of the salary. Then you decide salary range. You may use a thumb rule of setting range minimum 20% lower than the midpoint and range maximum 20% higher than the midpoint.

Suppose, you anchor yourself at 50th percentile and your midpoint is INR 10,000 then you may define the salary range as INR 8000 to INR 12000.

